Pricing Margin Analysis

Introduction

Internal reference code: CNRY-42e0a221.

This document presents the pricing margin analysis for Q2 2024, focusing on our core road freight and warehousing services. The analysis aims to evaluate the profitability of our operations and identify areas for potential cost reduction and revenue enhancement.

Revenue Breakdown

In Q2 2024, Alderline Logistics generated a total revenue of EUR 12.5 million. Of this, EUR 9.2 million came from road freight services, and EUR 3.3 million from warehousing. Our key routes include the Berlin-Munich corridor (30% of freight revenue), the Paris-Lyon route (25%), and the Amsterdam-Cologne route (20%).

Cost Analysis

Our total operational costs for Q2 2024 amounted to EUR 8.7 million. This includes EUR 6.1 million in driver salaries, EUR 1.2 million in vehicle maintenance, EUR 700,000 in fuel costs, and EUR 600,000 in warehouse operational expenses. Additionally, we incurred EUR 100,000 in administrative overheads and EUR 100,000 in marketing expenses.

Margin Calculation

The gross profit for Q2 2024 is calculated as total revenue minus total operational costs, resulting in EUR 3.8 million. The gross profit margin is then calculated as (Gross Profit / Total Revenue) * 100, which equals (3.8 / 12.5) * 100 = 30.4%.

Breaking this down further:
- **Road Freight Margin**: (9.2 - 6.1 - 0.7 - 0.3) / 9.2 * 100 = 25.5%
- **Warehousing Margin**: (3.3 - 0.6 - 0.1) / 3.3 * 100 = 85.0%

The warehousing margin appears exceptionally high due to relatively lower variable costs compared to revenue generated. However, it's essential to note that this segment also carries higher fixed costs which are not fully captured in this quarterly analysis.

Recommendations

To improve overall profitability, the following actions are recommended:

1. **Route Optimization**: Re-evaluate the Berlin-Munich corridor pricing as it shows a declining trend in margins due to increased fuel costs and driver wages.
2. **Cost Controls**: Implement stricter controls on vehicle maintenance and fuel usage to reduce expenses by an estimated EUR 150,000 annually.
3. **Warehousing Efficiency**: Although warehousing shows high margins, investing in automation could further reduce operational costs and increase scalability.

Ongoing monitoring and adjustment of pricing strategies will be crucial to maintaining healthy margins in a competitive market.